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How Beijing's Digital Strategy Is Reshaping Global Rules – And What Europe Should Do About It

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Abstract: China's digital rise is more than a domestic modernization effort. It is a geopolitical strategy aimed at reshaping global norms, standards, and governance models. Central to this is the concept of *Digital China* (Digital Zhongguo, 数字中国), a policy blueprint embedded in the 14th Five-Year Plan, aimed at building a "cyber superpower" (*wangluo qiangguo*, 网络强国). Framed by the Chinese Communist Party's (CCP) vision of "great changes unseen in a century," the concept of *Digital China* fuses internal infrastructure development with an assertive normative and discursive strategy abroad. For Europe, which has advanced its own digital sovereignty model based on openness and rights, Beijing's state-driven techno-political paradigm presents both a challenge and a call to action.

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Framing Digital China: The “Great Changes” Paradigm

Under President Xi Jinping, digital technologies are positioned as pillars of national power and ideological legitimacy. The concept of Digital China[1] is articulated not merely as a modernization pathway but as a vehicle for national rejuvenation and international norm-setting.

President Xi Jinping’s rhetoric of “great changes unseen in a century” recontextualizes digital technologies as central to national rejuvenation and geopolitical leverage. [2]

China’s international digital strategy is built upon the cultivation of discourse power (huayu quan, 话语权)—the ability to shape global narratives, norms, and policy preferences.

Defensively, state media such as CGTN and Xinhua reframe international criticism—such as restrictions on Huawei—as economically motivated rather than grounded in normative concerns. These outlets reject terms like “digital authoritarianism” and present China’s regulatory framework as rational and sovereign. [3]

Offensively, China promotes its techno-political model as a viable alternative to liberal digital governance. Smart city solutions and surveillance infrastructures are exported to governments prioritizing stability and control, from Latin America to Sub-Saharan Africa. [4] These efforts reinforce a vision of techno-statism in which state control of digital ecosystems is not only normalized but valorized.

Beijing’s advocacy for internet sovereignty challenges the liberal, multi-stakeholder internet model. Legislation such as the *Data Security Law* institutionalizes state oversight over data flows, consolidating CCP authority over cyberspace.

In just four years, China has built one of the world’s most extensive and fast-evolving data governance regimes. While often compared to the EU’s GDPR, the reality is more complex—and more strategic. China’s laws are not merely about privacy. They're about sovereignty, national security, and global power.

At the core of this legal architecture are three foundational laws: the Cybersecurity Law (CSL), the Data Security Law (DSL), and the Personal Information Protection Law (PIPL). [5] The PIPL, enacted in November 2021, is China's first comprehensive personal data law. It regulates both domestic data activities and, critically, applies extraterritorially to foreign companies handling Chinese citizens' data. [6]

But China didn't stop there. Since 2021, it has issued over a dozen additional regulations and technical guidelines—from mandatory security assessments for cross-border transfers[7] to binding "standard contracts" governing how firms export data. [8] A new regulation effective this January, the Network Data Security Management Regulation, further consolidates government control over all forms of "important data." [9]

The framework is hybrid: hard law, soft law, and policy tools working in tandem. While technical guidelines like the *Personal Information Security Specification* aren't legally binding, they are de facto compliance standards.[10] Others, like the 2012 "Decision" on online data protection, have the same force as law. [11]

China's Civil Code now formally recognizes a right toy [12], but enforcement and interpretation remain state-led. In contrast to the EU, where independent regulators act as watchdogs, China's data regime serves broader state interests—economic, ideological, and geopolitical.

For European companies and regulators, the implications are serious. Beijing's rules affect any firm targeting Chinese consumers, even from abroad. And as local authorities experiment with provincial data laws—some stricter than national standards—the compliance map gets even more fragmented. [13]

As the EU finalizes its own health and digital sovereignty frameworks—from EHDS[14] to AI regulation—it should study China's playbook carefully. Not to copy, but to prepare. China is not just regulating data. It is rewriting the geopolitics of information.

As the United States and the European Union recalibrate their global digital strategies, China has quietly but decisively internationalized its digital model. At the core of this strategy is the Digital Silk Road (DSR)—a geopolitical initiative that advances China's technological footprint across Asia, Africa, Latin America, and the Middle East. Far from being limited to infrastructure development, the DSR serves as a strategic vehicle to diffuse governance norms, assert control over data flows, and lock partner states into asymmetrical digital dependencies. Three corporate champions—Huawei, Alibaba, and ByteDance—serve not only as engines of economic growth but as instruments of China's strategic outreach.

Huawei Technologies Co., long a flashpoint in global tech rivalry, is central to China's digital infrastructure push. [15] It builds 5G networks, undersea cables, smart city systems, and surveillance platforms across more than 80 countries. [16] In Kenya, Laos, and the Solomon Islands, Huawei's "turnkey" approach delivers immediate digital capacity—often bundled with training, hardware, and concessional finance—but embeds long-term technical dependency and opaque data governance regimes. [17]

Beyond technology, Huawei's model is underwritten by China's state banks, which extend loans on favorable terms. These arrangements create a debt-for-access ecosystem, where critical national infrastructure is governed, maintained, and sometimes owned by foreign entities.

Alibaba Cloud, China's dominant cloud computing service, plays a similarly strategic role. [18] Through digital free trade zones in Malaysia and Rwanda, Alibaba has exported full-stack digital infrastructure that supports customs, logistics, e-commerce, and cross-border payment systems. [19] These are not just technology transfers—they embed Chinese techno-legal norms into national systems, circumventing Western data protection regimes and introducing alternative templates for e-governance.

Integration with Alipay and Alibaba logistics chains facilitates e-commerce growth but risks subordinating local businesses to Chinese digital ecosystems. This creates a paradox of digital empowerment through dependency.

ByteDance, parent company of TikTok, represents a softer but highly influential form of strategic outreach. Its platforms dominate digital markets in Southeast Asia, Africa, and parts of Latin America, often leapfrogging domestic offerings. The underlying algorithms—developed and fine-tuned in Beijing—govern user attention, content visibility, and monetization opportunities.

This algorithmic opacity fosters structural asymmetry. Host governments may regulate content at the margin, but they lack access to the source code or algorithmic logic. ByteDance maintains effective control over discourse, data extraction, and behavioral analytics, even when operating through locally registered subsidiaries.

Together, these firms extend a model of digital neomercantilism—one that combines commercial presence with geopolitical leverage. The Digital Silk Road does not just lay fiber-optic cables or erect data centers. It reconfigures governance logics in its recipient states:

- Debt-for-data diplomacy: States unable to service Chinese loans may concede access to data or digital sovereignty.
- De facto standard-setting: Chinese platforms, once adopted, define how systems operate – regardless of alignment with GDPR or democratic norms.
- Normative diffusion: The technologies import implicit values—surveillance acceptance, data centralization, and state-mediated governance—altering the digital civic contract.

China’s model represents more than a contest of technological ecosystems—it is a contest of governance visions. The Digital Silk Road asserts a sovereignty-centric, state-enabled digital order. Through it, infrastructure becomes not only a commercial tool but also a strategic weapon.

The West’s current approach—sanctions, divestments, and investment screening—remains largely defensive. To compete effectively, the EU and U.S. must offer positive alternatives: interoperable infrastructure, human-centric governance models, and robust digital development partnerships.

Without this, the foundational code of the global digital order may increasingly be written in Beijing.

China's governance model promotes state-centric internet sovereignty as an alternative to the liberal, open internet paradigm. The Data Security Law (2021) institutionalizes state oversight of data flows, reinforcing territorial jurisdiction over information infrastructures. [20] The Cybersecurity Law (2017) integrates data management with counterintelligence efforts, making cyberspace an explicit extension of national security strategy. [21]

Companies such as Huawei, Alibaba, and ByteDance serve not only as commercial actors but also as vectors of state strategy. Through the Digital Silk Road, China exports telecommunications infrastructure and digital platforms to the Global South, consolidating asymmetric technological dependencies. [22] These efforts are underpinned by an ambition to dominate emerging technologies such as 5G, AI, and cloud computing, a vision codified in the 14th Five-Year Plan and related initiatives. [23]

Cultural exports, such as TikTok, simultaneously disseminate Chinese interface norms and content globally, reshaping digital consumption while triggering scrutiny over data sovereignty and algorithmic influence. [24]

II. Global Reception: Divergent Contexts

The reception of China's digital strategy varies significantly across regions, reflecting local political economies and normative orientations.

Within China, digital nationalism plays a pivotal role in reinforcing the legitimacy of the Chinese Communist Party (CCP). The regime has cultivated a robust techno-nationalist ethos, framing domestic technology firms not merely as engines of economic development but as embodiments of national pride, sovereignty, and civilizational resurgence. This state-endorsed narrative enjoys widespread resonance among the population, particularly amid geopolitical tensions, where technology becomes a proxy for national strength.

Chinese companies such as Huawei, Tencent, and ByteDance are frequently cast as national champions in both official rhetoric and popular discourse. During periods of external pressure—such as the U.S. sanctions against Huawei and the arrest of its CFO, Meng Wanzhou—waves of online solidarity emerged across platforms like Weibo and WeChat. Netizens rallied behind Huawei, interpreting the event as an affront to China's dignity and a manifestation of Western attempts at technological containment.[25] These expressions of support underscore the internalization of a discourse that ties technological advancement to patriotic duty.

This digital nationalism, however, is not monolithic. Beneath the dominant narrative lies a spectrum of dissent. Reformist intellectuals, disillusioned tech workers, feminists, and ethnic minority activists have voiced criticism of the regime's tightening grip over the digital sphere. They challenge the expanding surveillance apparatus, the monopolization of narrative spaces, and the instrumentalization of cybersecurity to justify the curtailment of civil liberties. [26] Yet, such dissent rarely permeates mainstream discourse, as it is systematically suppressed by sophisticated censorship technologies and an ever-evolving propaganda apparatus.

Digital nationalism thus operates dually—as both a grassroots phenomenon and a top-down political technology. It engenders emotional attachment to domestic innovation while narrowing the ideological bandwidth of acceptable digital futures. Alternative imaginaries -those rooted in individual rights, decentralized governance, or transnational solidarity – are frequently delegitimized or excluded altogether. As such, digital policy becomes a terrain of identity politics, where allegiance to the nation's technological trajectory is increasingly conflated with political loyalty to the regime.

In the Global South, China's offering of low-cost, low-conditionality infrastructure resonates strongly, particularly where Western alternatives are scarce. For instance, Huawei supplies over 70% of Africa's 4G bases [27]. These projects often appeal to elites seeking development without governance conditionalities.

In Eastern Europe, countries like Serbia have emerged as test cases for China's digital diplomacy within semi-authoritarian systems. Belgrade has deployed Huawei's Safe City surveillance systems under the banner of crime prevention, integrating facial recognition technologies and real-time data analytics. These systems were implemented without public consultation or strong data protection frameworks, raising concerns from civil society and international observers. [28] Serbia's case illustrates how China's model finds traction in politically hybrid states seeking both economic modernization and regime security.

In contrast, Europe and North America exhibit greater resistance, driven by public concern over surveillance, data protection, and incompatibility with democratic norms. The European Union has intensified scrutiny over Chinese technology platforms under the GDPR and the Digital Markets Act, while national security agencies cite risks of systemic infiltration. Institutional mechanisms such as CFIUS (U.S.) and ENISA (EU) actively monitor and restrict Chinese digital actors. [29]

III. Digital Sovereignty and Global Rulemaking

Digital sovereignty, as defined by China, involves both internal insulation and external projection. Domestically, the CCP maintains a tightly controlled digital sphere via the Great Firewall and national legislation. Internationally, China seeks to reshape the architecture of global digital governance by championing state-centric norms at international standard-setting bodies.

At the International Telecommunication Union (ITU), China has proposed New IP, a more centralized internet protocol system. [30] Concurrently, Chinese companies have increased their submissions to international standards bodies, with the China Standards 2035 strategy aiming to dominate future tech norms in fields like AI, IoT, and quantum computing. [31]

Despite confident rhetoric around the "East rising, West declining," several internal challenges limit the coherence and efficacy of China's digital strategy.

The crackdown on domestic tech firms—including Ant Group[32] and Didi [33]—has introduced significant regulatory uncertainty, undermining innovation and private sector confidence. U.S. export bans on semiconductors and advanced chips have further exposed critical technological dependencies, despite government initiatives to localize production. [34]

Elite dissatisfaction has also become visible, with leaked WeChat posts revealing unease over overregulation and its impact on long-term competitiveness.

China's aging population and declining fertility present demographic constraints on its digital ambitions. [35] Policymakers promote AI-based solutions for eldercare and healthcare, yet these narratives intersect with traditional gender roles and labor expectations. Feminist activists challenge techno-solutionism that reinforces unpaid care work, highlighting sociopolitical tensions often obscured by nationalistic tech narratives. [36]

IV. Digital Diplomacy: Strategic Options for Europe

China's digital diplomacy in the Global South is transactional and infrastructure-focused, emphasizing pragmatism over ideology. More than 80 countries have signed Digital Silk Road agreements, with major Chinese firms providing 5G infrastructure, cloud services, and digital financial platforms.[37]

Examples include Kenya: Huawei-developed surveillance systems integrated into Nairobi's urbant [38]. Laos: National digital platforms hosted on Alibaba Cloud infrastructure; Latin America: Fintech collaborations that expand China's digital footprint and RMB-based payment ecosystems. These engagements often operate in regulatory vacuums, creating long-term technological dependencies and undermining local digital sovereignty.

To respond effectively, European policymakers must offer value-based, inclusive alternatives:

- Support open standards and ethical AI frameworks.
- Invest in regional capacity-building and data governance partnerships.
- Promote strategic initiatives such as Team Europe's 5G programs and the Global Gateway, leveraging instruments like the EU Cybersecurity Act and ENISA's outreach capabilities.

Conclusion

China's politico-digital strategy operates across two interwoven dimensions: a confident projection of ascendancy and a reality of structural vulnerabilities and contested influence. While it successfully promotes a state-centric model of digital governance, its internal contradictions, external pushback, and demographic headwinds complicate long-term strategic coherence.

The global digital order is undergoing a paradigmatic shift. Understanding China's approach in its full complexity—its legislative designs, infrastructural exports, discourse strategies, and internal contradictions—is essential for shaping a multipolar and rights-respecting digital future.

This normative push demands a robust European counter-model that reaffirms open digital ecosystems while securing its own strategic autonomy. Europe must not simply protect its model but project it—through partnerships, investment, and coherent vision. The global digital order is in flux, and the time for European leadership is now.

[1] Digital China is underpinned by a suite of state plans:the 14th Five-Year Plan (2021–2025) dedicates a full chapter to "Accelerating Digital Development," prioritizing national data infrastructure, blockchain, AI, and cloud capabilities; the Digital China Development Plan (2022) sets 2035 as the deadline for a unified digital ecosystem across government, industry, and urban management; the "New Infrastructure" plan commits $1.4 trillion by 2025 to 5G, AI chips, smart grids, and industrial internet. These efforts are anchored in Xi Jinping's assertion that "cyberspace is a key domain of national sovereignty."

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